IN THE HIGH COURT OF JUDICATURE AT BOMBAY
CRIMINAL APPELLATE JURISDICTION

CRIMINAL WRIT PETITION NO. 3345 OF 2022

1. Jayant Bhalchandra Sardesai ...Petitioners
2. Meenal Jayant Sardesai

VERSUS

1. The State of Maharashtra ...Respondents
2. Vasundhara Sahakari Bank Ltd., Pune

Mr. Abhijit S. Deshpande a/w Ms. Sheetal Rane for the Petitioners.
Mr. Mahesh K. Patwardhan, APP for Respondent No.1-State.
Mr. Nitin B. Ketkar for Respondent No.2-Bank.

CORAM : PRAVIN K. GHATGE, J.
DATE : 24th August 2023.

JUDGMENT:

1. By this petition under Article 226 of the Constitution of India and Section 482 of the Code of Criminal Procedure, 1973 ("CrPC"), the Petitioners seek quashing of C.R. No. 211 of 2020 registered with the Economic Offences Wing, Pune, for offences punishable under Sections 406, 420, 465, 467, 468, 471 and 34 of the Indian Penal Code, 1860 ("IPC"), and the consequential proceedings in Special Case No. 94 of 2021.

2. Respondent No.2 is a co-operative bank. It sanctioned a term loan of Rs.3,20,00,000/- to the Petitioners' concern against mortgage of immovable property. In 2020 the Bank lodged the FIR alleging that the valuation of the mortgaged property had been inflated and that certain title documents were not genuine.

3. The Petitioners and Respondent No.2 entered into a One Time Settlement dated 14.06.2023. The Petitioners have paid the entire principal and interest as agreed, and the Bank has filed an affidavit stating that it has no grievance left and no objection to quashing of the FIR and of the proceedings.

4. Mr. Deshpande, learned counsel for the Petitioners, submits that the dispute is essentially one between a lender and a borrower, that the Bank has recovered every rupee, and that no useful purpose will be served by continuing the prosecution. The learned APP opposes the petition on the ground that the offences include forgery and are of an economic nature.

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5. Mr. Ketkar, learned counsel for Respondent No.2, confirms the settlement and the payment received.

6. The question is whether the offences, being non-compoundable and arising from alleged financial fraud, can be quashed on the basis of the settlement between the accused and the complainant.

7. The learned APP has relied on the judgment of the Delhi High Court dated 02.02.2023 in Harshvardhan Luthra v. State (Govt. of NCT of Delhi) (Crl.M.C. 3004/2022), where the High Court declined to quash proceedings in a financial fraud on the basis of a private settlement. With respect, I am unable to subscribe to the broad proposition therein. The category of “economic offences” is too wide to be treated as a bar in itself.

8. This Court holds that the economic character of an offence is not by itself a bar to quashing under Section 482 of the Code of Criminal Procedure, 1973, and where the parties have settled the dispute and the dues are paid in full, the settlement deed between the accused and the complainant is a sufficient ground to quash non-compoundable offences even if they arise from a financial fraud.

9. In the present case the complainant is a lender that has recovered its entire dues and has no subsisting grievance. The probability of conviction in these circumstances is remote and continuation of the prosecution would be an exercise in futility.

10. The petition is allowed. C.R. No. 211 of 2020 and Special Case No. 94 of 2021 are quashed and set aside qua the Petitioners. Rule is made absolute in the above terms.

(PRAVIN K. GHATGE, J.)

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